

- They are not susceptible to successful central planning intervention (although some would argue that Japan's two-decade slump would have been worse without determined, countercyclical fiscal stimulus).
- They can be brutal.

It's that last point that a long-term-oriented, macro-minded investor should keep in mind. And then, in the back of his mind should be the American public's abhorrence of pain in all its forms.

So let us return to our gold bug. In 1998, gold hit its final low, at \$256 per ounce. The bear market had run its course. He could not know it, but the major trends of the past two decades were getting ready to turn around. The Nasdaq hit its high in January 2000. The Dow, too, topped out. The feds came into the market with huge inputs of cash and credit. They fought the downturn of the 2000s just as they had every other one since World War II—just with much more firepower. But the story had changed in a dramatic way. They didn't get the same results. Ten years and trillions of dollars later, the major indicators of the U.S. economy were in a slump again. It was obvious that the countercyclical monetary and fiscal stimulus programs had reached their limits. It should have been obvious, too, that the credit cycle had reached its limit.

What would cause this? Well, we return to a well-worn idea: the principle of declining marginal utility, applied to debt. As an economy adds debt, each additional unit produces less and less incremental output. In the period of 1950–1980, more or less, additional debt paid off at a rate of \$1 of output for each \$1.40 of debt. That rate began a steep decline in the 1990s and ended up in 2007 at around \$5 of additional debt for every additional unit of GDP. Debt didn't pay.

This meant that you couldn't pull your way out of a slump simply by offering more credit; the economy already had too much. Furthermore, it meant that debt was no longer a boon to economic growth but a drag on it. This was shown in the work of Carmen Reinhart and Kenneth Rogoff. In their masterful study of government debt, they illustrate how higher levels of debt are accompanied by lower levels of growth. Roughly, when national debt equals 90 percent or more of GDP, growth slows by 1 percent.⁴

It doesn't take much imagination to see how these trends become self-exterminating. The higher debt grows, the less able the economy is to